

CV-26-002034 ALFARO FARM LABOR CONTRACTOR INC vs ATHWAL INVESTMENTS LP – a) Cross-Defendant Alfaro Farm Labor Contractor Inc.’s Demurrer to Cross Complaint – SUSTAINED with leave to amend. b) Cross Defendant Alfaro Farm Labor Contractor Inc.’s Motion to Strike Cross Complaint – GRANTED with leave to amend. c) Plaintiff/Cross-Defendant’s Writ of Attachment – HEARING REQUIRED.

County: stanislaus

Division: Civil Law and Motion

Department: 22

Hearing date: 2012-04-02

Motion: a – b) For the reasons set forth below, the Demurrer to the Cross-Complaint’s third and sixth causes of action is SUSTAINED with leave to amend; and the Motion to Strike certain punitive and emotional distress damages is GRANTED with leave to amend. Cross-Complainants shall serve and file any amended cross-complaint no later than 21 days after service of the signed order. Moving Party to submit proposed orders within five court days that conforms to this ruling. Demurrer and motion to strike On May 20, 2026, Plaintiff and Cross-Defendant Alfaro Farm Labor Contractor, Inc. (“Alfaro”) filed a demurrer to the Cross-Complaint filed by Athwal Investments, L.P., TriNut Farm Management, Inc., Napa Farms LLC, and Sarbjit S. Athwal (“Cross-Complainants”). Alfaro demurs to the Cross-Complaint’s third cause of action for fraud and sixth cause of action for negligent misrepresentation. On June 25, 2026, Cross-Complainants filed an opposition. On June 30, 2026, Alfaro filed a reply. On May 20, 2026, Alfaro filed a motion to strike certain prayers for relief from the Cross-Complaint pursuant to Code of Civil Procedure sections 435 and 436. On June 25, 2026, Cross-Complainants filed an opposition. On June 30, 2026, Alfaro filed a reply. Demurrer to third cause of action for fraud Alfaro demurs to the third cause of action for fraud on the basis that the Cross-Complaint does not meet the pleading requirements. “The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citations.]” *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 [internal quotation marks omitted]. “In California, fraud must be pled specifically; general and conclusory allegations do not suffice.” (*Ibid.*, 645.) When pleading fraud, “a plaintiff must plead facts which show how, when, where, to whom, and by what means the representations were made. [Citations.]” (*Citizens of Humanity, LLC v. Costco Wholesale Corp.* (2009) 171 Cal.App.4th 1, 20 [internal quotation marks omitted], disapproved of on inapposite grounds by *Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310.) “When the defendant is a corporate defendant, the plaintiff must further allege the names of the persons who made the representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Id.*) “There are certain exceptions to the particularity requirement. (*Id.*) “Less specificity is required when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy.” (*Id.*) Here, the gravamen of the Cross-Complaint’s third cause of action is that Alfaro’s workers comingled rejected fruit with proper fruit in an effort to make it look like all the fruit was of the proper size and ripeness. The Cross-Complaint alleges that Alfaro’s workers intentionally included undersized and overripened fruit, which presumably is a breach under the parties’ contract. The allegations in the Cross-Complaint fall short of the requirements to sufficiently plead a cause of action for fraud. For example, the Cross-Complaint does not sufficiently plead reliance or damages. Nor does it meet the heightened pleading requirements of pleading when, where, and to whom the specific misrepresentation/concealment was made. At this time, the Court is unconvinced that Cross-Complainants are unable to allege a viable cause of action for fraud if given the opportunity to amend the pleadings. Accordingly, the demurrer to the third cause of action for fraud is SUSTAINED with leave to amend. Demurrer to sixth cause of action for negligent misrepresentation Alfaro demurs to the sixth cause of action for negligent misrepresentation on the basis that the Cross-Complaint does not meet the pleading requirements. “Negligent misrepresentation requires an assertion of fact, falsity of that assertion, and the tortfeasor’s lack of reasonable grounds for believing the assertion to be true. It also requires the tortfeasor’s intent to induce reliance, justifiable reliance by the person to whom the false assertion of fact was made, and damages to that person. [Citation.]” (*SI 59 LLC v. Variel Warner Ventures, LLC* (2018) 29 Cal.App.5th 146, 154.) “An implied assertion of fact is “not enough” to support liability. [Citation.]” (*Ibid.*) The allegations in the Cross-Complaint fall short of the requirements to sufficiently plead a cause of action for negligent misrepresentation. For example, the Cross-Complaint does not sufficiently allege reliance or damages. At this time, the Court is unconvinced that Cross-Complainants are unable to allege a viable cause of action for negligent misrepresentation if given the opportunity to amend the pleadings. Accordingly, the demurrer to the sixth cause of action for negligent misrepresentation is SUSTAINED with leave to amend. Motion to strike Alfaro moves to strike punitive damages and emotional distress damages from the Cross-Complaint. For reasons similar to those explained above with respect to the

Demurrer, the prayers for punitive and emotional distress damages should be stricken. In addition, Cross-complainants present no authority establishing that corporate entities may recover emotional distress damages. Accordingly, the motion to strike is GRANTED with leave to amend. c) Application for writ of attachment A hearing is required. "No order or writ shall be issued under this article except after a hearing." (Code Civ. Proc., § 484.040.) The Court is inclined to GRANT the application in the reduced amount of \$170,329.42. An undertaking in the amount of \$10,000 shall be filed. Moving party to submit proposed orders within five days of this ruling. On May 27, 2026, Alfaro filed an application for right to attach order and for issuance of writ of attachment pursuant to Code of Civil Procedure section 483.010, and a request for judicial notice. On July 1, 2026, Defendant and Cross-Complainant Athwal Investments, LP ("Athwal") filed an opposition. On July 6, 2026, Alfaro filed a reply. Alfaro's unopposed request for judicial notice of the Complaint filed in this action is GRANTED. The Court considers the showing made by the parties appearing and issues a right to attach order, which shall state the amount to be secured by the attachment determined by the court in accordance with Section 483.015 or 483.020, if it finds all of the following: (1) the claim upon which the attachment is based is one upon which an attachment may be issued; (2) Plaintiff has established the probable validity of the claim upon which the attachment is based; (3) the attachment is not sought for a purpose other than recovery on the claim upon which the attachment is based; and (4) the amount to be secured by the attachment is greater than zero. (Code Civ. Proc., § 484.090(a).) Alfaro seeks a writ of attachment in the amount of \$289,887.55, consisting of an alleged unpaid principal balance of \$239,887.55 and estimated allowable attorney fees of \$50,000.00. Alfaro further seeks contractual interest accruing at 18 percent per annum and taxable costs of suit. According to Alfaro, Defendant is obligated to pay the foregoing amount for agricultural labor Alfaro performed pursuant to a contract with Defendant. Defendant has not made any payments. Defendant alleges that Alfaro picked undersized and overripe fruit and tried to cover it up by commingling it with other acceptable fruit. However, Defendant states that it is willing to pay Alfaro after deducting its damages in the amount of \$69,558.125. According to Defendant, the amount owed is no more than \$170,329.42. Defendant argues the amount owed to Alfaro is not readily ascertainable because the alleged amount of debt is a heavily disputed number. Here, Defendant appears to concede that it owes Alfaro some amount per the terms of the contract. Defendant states the amount owed is \$170,329.42 at most, before further offsets. Defendant's argument that further offsets need to be determined is not persuasive because Defendant has already quantified the amount of damages it sustained. In addition, Defendant's argument that the damages amount cannot be quantified is unsupported by any legal authority. The Court finds Alfaro has met the statutory requirements for issuance of a right to attach order.

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Cross-Complainants shall serve and file any amended cross-complaint no later than 21 days after service of the signed order. Moving Party to submit proposed orders within five court days that conforms to this ruling.

Demurrer and motion to strike

On May 20, 2026, Plaintiff and Cross-Defendant Alfaro Farm Labor Contractor, Inc. ("Alfaro") filed a demurrer to the Cross-Complaint filed by Athwal Investments, L.P., TriNut Farm Management, Inc., Napa Farms LLC, and Sarbjit S. Athwal ("Cross-Complainants"). Alfaro demurs to the Cross-Complaint's third cause of action for fraud and sixth cause of action for negligent misrepresentation. On June 25, 2026, Cross-Complainants filed an opposition. On June 30, 2026, Alfaro filed a reply.

On May 20, 2026, Alfaro filed a motion to strike certain prayers for relief from the Cross-Complaint pursuant to Code of Civil Procedure sections 435 and 436. On June 25, 2026, Cross-Complainants filed an opposition. On June 30, 2026, Alfaro filed a reply.

Demurrer to third cause of action for fraud

Alfaro demurs to the third cause of action for fraud on the basis that the Cross-Complaint does not meet the pleading requirements.

"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citations.]" *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 [internal quotation marks omitted].) "In California, fraud must be pled specifically; general and conclusory allegations do not suffice." (Ibid., 645.)

When pleading fraud, "a plaintiff must plead facts which show how, when, where, to whom, and by what means the representations were made. [Citations.]" (*Citizens of Humanity, LLC v. Costco Wholesale Corp.* (2009) 171 Cal.App.4th 1, 20 [internal quotation marks omitted], disapproved of on inapposite grounds by *Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310.) "When the defendant is a corporate defendant, the plaintiff must further allege the names of the persons who made the representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (Id.) "There are certain exceptions to the particularity requirement. (Id.) "Less specificity is required when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy." (Id.)

Here, the gravamen of the Cross-Complaint's third cause of action is that Alfaro's workers comingled rejected fruit with proper fruit in an effort to make it look like all the fruit was of the proper size and ripeness. The Cross-Complaint alleges that Alfaro's workers intentionally included undersized and overripened fruit, which presumably is a breach under the parties' contract.

The allegations in the Cross-Complaint fall short of the requirements to sufficiently plead a cause of action for fraud. For example, the Cross-Complaint does not sufficiently plead reliance or damages. Nor does it meet the heightened pleading requirements of pleading when, where, and to whom the specific misrepresentation/concealment was made.

At this time, the Court is unconvinced that Cross-Complainants are unable to allege a viable cause of action for fraud if given the opportunity to amend the pleadings. Accordingly, the demurrer to the third cause of action for fraud is SUSTAINED with leave to amend.

Demurrer to sixth cause of action for negligent misrepresentation

Alfaro demurs to the sixth cause of action for negligent misrepresentation on the basis that the Cross-Complaint does not meet the pleading requirements.

"Negligent misrepresentation requires an assertion of fact, falsity of that assertion, and the tortfeasor's lack of reasonable grounds for believing the assertion to be true. It also requires the tortfeasor's intent to induce reliance, justifiable reliance by the person to whom the false assertion of fact was made, and damages to that person. [Citation.]" (*SI 59 LLC v. Variel Warner Ventures, LLC* (2018) 29 Cal.App.5th 146, 154.) "An implied assertion of fact is "not enough" to support liability. [Citation.]" (Ibid.)

The allegations in the Cross-Complaint fall short of the requirements to sufficiently plead a cause of action for negligent misrepresentation. For example, the Cross-Complaint does not sufficiently allege reliance or damages.

At this time, the Court is unconvinced that Cross-Complainants are unable to allege a viable cause of action for negligent misrepresentation if given the opportunity to amend the pleadings. Accordingly, the demurrer to the sixth cause of action for negligent misrepresentation is SUSTAINED with leave to amend.

Motion to strike

Alfaro moves to strike punitive damages and emotional distress damages from the Cross-Complaint. For reasons similar to those explained above with respect to the Demurrer, the prayers for punitive and emotional distress damages should be stricken. In addition, Cross-complainants present no authority establishing that corporate entities may recover emotional distress damages. Accordingly, the motion to strike is GRANTED with leave to amend.

c) Application for writ of attachment

A hearing is required. "No order or writ shall be issued under this article except after a hearing." (Code Civ. Proc., § 484.040.) The Court is inclined to GRANT the application in the reduced amount of \$170,329.42. An undertaking in the amount of \$10,000 shall be filed. Moving party to submit proposed orders within five days of this ruling.

On May 27, 2026, Alfaro filed an application for right to attach order and for issuance of writ of attachment pursuant to Code of Civil Procedure section 483.010, and a request for judicial notice. On July 1, 2026, Defendant and Cross-Complainant Athwal Investments, LP ("Athwal") filed an opposition. On July 6, 2026, Alfaro filed a reply.

Alfaro's unopposed request for judicial notice of the Complaint filed in this action is GRANTED.

The Court considers the showing made by the parties appearing and issues a right to attach order, which shall state the amount to be secured by the attachment determined by the court in accordance with Section 483.015 or 483.020, if it finds all of the following: (1) the claim upon which the attachment is based is one upon which an attachment may be issued; (2) Plaintiff has established the probable validity of the claim upon which the attachment is based; (3) the attachment is not sought for a purpose other than recovery on the claim upon which the attachment is based; and (4) the amount to be secured by the attachment is greater than zero. (Code Civ. Proc., § 484.090(a).)

Alfaro seeks a writ of attachment in the amount of \$289,887.55, consisting of an alleged unpaid principal balance of \$239,887.55 and estimated allowable attorney fees of \$50,000.00. Alfaro further seeks contractual interest accruing at 18 percent per annum and taxable costs of suit. According to Alfaro, Defendant is obligated to pay the foregoing amount for agricultural labor Alfaro performed pursuant to a contract with Defendant. Defendant has not made any payments.

Defendant alleges that Alfaro picked undersized and overripe fruit and tried to cover it up by commingling it with other acceptable fruit. However, Defendant states that it is willing to pay Alfaro after deducting its damages in the amount of \$69,558.125. According to Defendant, the amount owed is no more than \$170,329.42. Defendant argues the amount owed to Alfaro is not readily ascertainable because the alleged amount of debt is a heavily disputed number.

Here, Defendant appears to concede that it owes Alfaro some amount per the terms of the contract. Defendant states the amount owed is \$170,329.42 at most, before further offsets. Defendant's argument that further offsets need to be determined is not persuasive because Defendant has already quantified the amount of damages it sustained. In addition, Defendant's argument that the damages amount cannot be quantified is unsupported by any legal authority. The Court finds Alfaro has met the statutory requirements for issuance of a right to attach order.